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Datadog, Inc. | North America

Thoughts Heading Into Another Datadog Double

Next week, DDOG reports Q4 results and will host an investor day. Core drivers of observability demand and company momentum point to solid Q4 results, though we still expect a below-cons FY26 guide. Investor Day messaging likely to focus on how AI expands the opportunity in core observability.

Key Takeaways

- We expect a solid Q4 with revenue growth of +28%-29% YoY (vs+28 in Q3 and above cons. +24%) as core business accelerates further
- Risk to initial FY26 guide remains the near-term overhang; we think mgmt likely guides to +17% rev growth and 20% operating margin, below cons. (+21% and 23%)
- Given the current sell-off in software, a below-consensus guide could weigh on shares immediately post results
- At investor day a few days later, we expect management to speak to the strong underlying momentum in the core business and an attractive core opportunity ahead
- Remain OW as we see Q4 results and initial guidance ultimately proving a clearing event given that the core business is getting stronger

Event #1: 4Q25 Results on Feb 10th – Expect Strong Q4 but See Risk to Guide.

Datadog is set to deliver good Q4 results, with further improvement in core business trends (ex OpenAI) translating into +28%-29% YoY revenue growth (vs consensus +24%). Our work points to a stable-to-improving observability demand environment with a return of digital transformation and cloud migration initiatives (read [New Stack 4Q25 Preview](#)). However, the 2026 outlook could be another story as we see risk that guidance could come in below consensus revenue growth and margin expectations. We believe OpenAI is just under 10% of revenue and we model flat OpenAI revenue dollars in 2026 (0% growth) while applying conservatism on growth in the core business (+18.5%). This results in our 2026 estimate calling for +17% YoY revenue growth and ~20% operating margin – both below consensus (+21% and 23%, respectively). **With the vigorous sell-off in software stocks over the last week and given the reaction to recent results from Microsoft and ServiceNow, we think the tolerance for nuance with respect to results and guidance is particularly low at the moment.** Consequently, we expect the stock to react negatively if the 2026 outlook comes in line or below our estimates. **However, we continue to believe this will ultimately prove a clearing event, as the market should reward the improving underlying growth trends ex-OpenAI, as the year progresses** (read [Key Pillars of Demand on the Upswing](#);

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Datadog, Inc. (DDOG.O, DDOG US)					
Software United States of America					
Stock Rating	Overweight				
Industry View	Attractive				
Price target	\$180.00				
Shr price, close (Feb 2, 2026)	\$129.05				
Mkt cap, curr (mm)	\$42,474				
52-Week Range	\$201.69-81.63				
Fiscal Year Ending	12/24	12/25e	12/26e	12/27e	
EPS (\$)**	1.83	2.01	1.98	2.50	
Prior EPS (\$)**	-	-	-	-	
P/E	219.1	328.3	639.1	190.3	
EPS (\$)§	1.78	2.03	2.36	2.89	
Div yld (%)	-	-	-	-	

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)					
Quarter	2024	2025e Prior	2025e Current	2026e Prior	2026e Current
Q1	0.44	-	0.46a	-	0.45
Q2	0.43	-	0.46a	-	0.44
Q3	0.46	-	0.55a	-	0.53
Q4	0.49	-	0.55	-	0.56

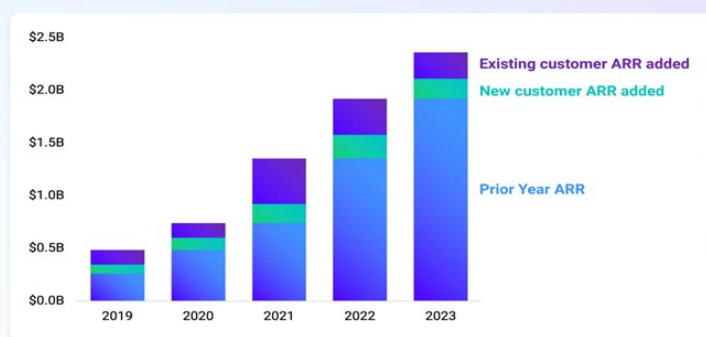
e = Morgan Stanley Research estimates, a = Actual Company reported data

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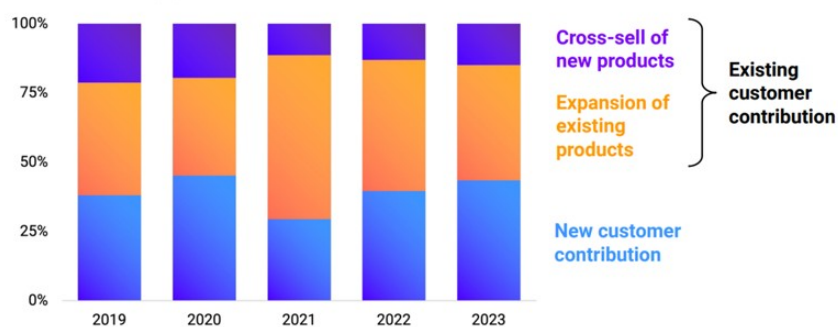
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Upgrade to OW).

Event #2: Investor Day on February 12 – Expect Confidence in Core Observability Opportunity. Similar, to February 2024, Datadog is holding its second-ever Investor Day a few days after reporting 4Q25 results on Tuesday February 10th. We think the 2026 Investor Day will update and mark-to-market some of the themes introduced at the 2024 event, particularly the company's long-term evolution from a system of alerting to a system of action/remediation by incorporating AI/agent capabilities across the platform. While we do not expect any long-term growth targets or growth/margin frameworks, a key theme we anticipate at Investor Day is how the coming wave of agentic applications will require monitoring/observability to be successful. The opportunity with respect to agentic deployments should extend the runway in the core business while also creating a tailwind for the emerging cloud security business (\$100+ million growing +55% YoY). In addition, we expect updates to metrics disclosed at the 2024 event including: new ARR by new/existing customers, ARR broken out by infrastructure monitoring, application performance monitoring, log management and emerging products, and percent of the customer base on all 3 pillars (infra, APM and logs).

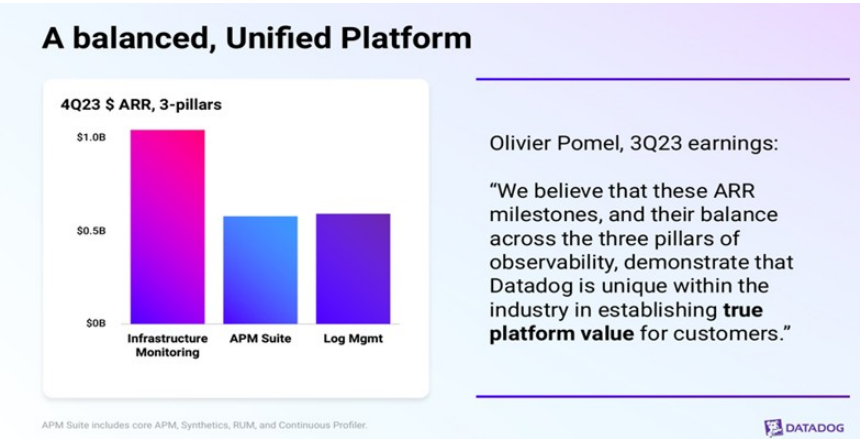
Exhibit 1: ARR Breakout Between Existing and New Customers**Land-and-expand business model**

Source: Company presentation

Exhibit 2: Net New ARR Breakout Between Expansion, Cross-Sell, and New Customer**% of ARR added by type**

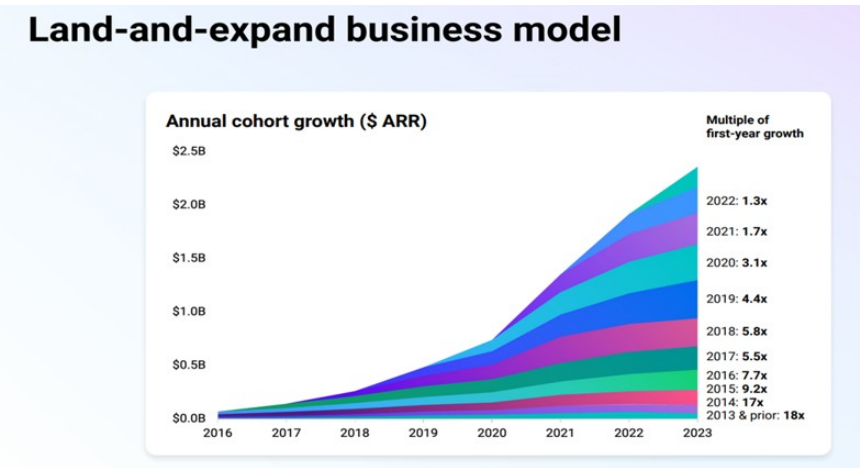
Source: Company presentation

Exhibit 3: ARR Across the Three Core Pillars – Infrastructure Monitoring, APM, and Log Management



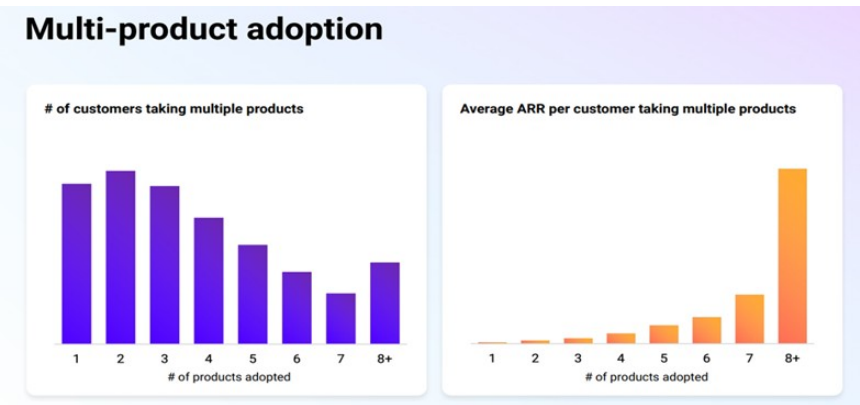
Source: Company presentation

Exhibit 4: ARR Land and Expand Across Annual Cohorts



Source: Company presentation

Exhibit 5: Customers Adopting More Modules and Spending More



Source: Company presentation

Valuation Methodology and Risks

Datadog, Inc. (DDOG.O)

Apply a 4.6x multiple (1.5x growth-adjusted) to our CY28 FCF/share estimate of \$4.09 (\$1.57 billion FCF, 27% margin), and discount back 1yr. 1.5x FCF growth-adj represents a premium to peer average 1.4x CY27. We believe a premium is warranted given it's the leading share gainer in a large category, its highly efficient business model, and being the most innovative company in the observability space, together translating into durable 25% FCF growth

Risks to Upside

- Customers consolidate capabilities with the Datadog platform
- Stronger Uptake of newer products
- Better Growth translates to margin outperformance
- OpenAI consumption proves stronger than expected

Risks to Downside

- Intensifying competition in a crowded market
- OpenAI churns faster than expected
- Weak adoption outside of Observability
- Premium pricing causes customer to move to alternatives

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Equal-weight/Hold	1579	43%	375	42%	24%	713	44%
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Total	3,695		890			1631	

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INDUSTRY COVERAGE: Software

COMPANY (TICKER)	RATING (AS OF)	PRICE* (02/03/2026)
Chris Quintero		
BILL Holdings Inc (BILL.N)	E (06/10/2025)	\$37.06
Blackline Inc (BL.O)	O (09/29/2024)	\$44.43
Descartes Systems Group Inc (DSGX.O)	O (01/15/2026)	\$66.36
Manhattan Associates Inc. (MANH.O)	E (10/21/2025)	\$135.64
Navan Inc (NAVN.O)	O (11/24/2025)	\$10.34
OneStream Inc (OS.O)	E (01/06/2026)	\$23.35
SPS Commerce Inc (SPSC.O)	E (11/11/2025)	\$82.03
Vertex Inc. (VERX.O)	O (01/17/2024)	\$15.87
Elizabeth Porter, CFA		
Amplitude Inc. (AMPL.O)	O (01/15/2026)	\$8.22
Autodesk (ADSK.O)	O (08/23/2024)	\$240.79
Figma Inc (FIG.N)	E (08/25/2025)	\$21.39
Five9 Inc (FIVN.O)	E (10/10/2022)	\$16.71
Freshworks Inc (FRSH.O)	E (10/18/2021)	\$9.53
GoDaddy Inc (GDDY.N)	E (07/19/2021)	\$94.02
HubSpot, Inc. (HUBS.N)	O (03/21/2023)	\$245.16
Klaviyo, Inc (KVYO.N)	O (09/19/2025)	\$20.15
LegalZoom.com Inc (LZ.O)	U (07/28/2022)	\$7.33
Liveramp Holdings Inc (RAMP.N)	E (01/13/2025)	\$22.47
NICE Ltd. (NICE.O)	O (10/16/2023)	\$108.98
RingCentral Inc (RNG.N)	E (08/08/2023)	\$24.82
Semrush Holdings Inc -A (SEMR.N)	E (08/05/2025)	\$11.88
Sprinklr Inc (CXM.N)	E (07/19/2021)	\$5.94
Sprout Social Inc (SPT.O)	E (11/17/2020)	\$8.01
Twilio Inc (TWLO.N)	O (02/24/2025)	\$109.50
Wix.Com Ltd (WIX.O)	O (01/13/2025)	\$77.45
Zeta Global Holdings Corp (ZETA.N)	E (08/01/2024)	\$17.72

ZoomInfo Technologies Inc (GTM.O)	E (02/01/2024)	\$6.92
Josh Baer, CFA		
Asana Inc (ASAN.N)	U (05/20/2025)	\$9.25
Box Inc (BOX.N)	E (05/21/2024)	\$24.29
CCC Intelligent Solutions Holdings Inc (CCC.O)	O (11/13/2024)	\$6.88
Commerce.com Inc. (CMRC.O)	U (01/20/2026)	\$2.98
Coursera, Inc. (COUR.N)	++	\$5.86
DigitalOcean Holdings Inc (DOCN.N)	O (01/16/2025)	\$58.32
Docebo Inc. (DCBO.O)	E (05/12/2025)	\$19.04
DocuSign Inc (DOCU.O)	E (01/16/2024)	\$46.07
Lightspeed POS Inc. (LSPD.N)	E (02/18/2021)	\$9.85
monday.com Ltd (MNDY.O)	O (08/12/2025)	\$101.71
Nebius Group NV (NBIS.O)	E (01/15/2026)	\$89.95
Sabre Corp (SABR.O)	E (03/16/2021)	\$1.24
ServiceTitan Inc (TTAN.O)	O (01/20/2026)	\$67.51
Toast, Inc. (TOST.N)	O (12/16/2021)	\$28.25
Udemy Inc (UDMY.O)	++	\$4.62
Via Transportation Inc (VIA.N)	O (01/20/2026)	\$20.66
Zoom Communications (ZM.O)	E (10/11/2022)	\$88.73
Keith Weiss, CFA		
Adobe Inc. (ADBE.O)	E (09/24/2025)	\$271.93
Atlassian Corporation PLC (TEAM.O)	O (01/13/2020)	\$105.00
Cloudflare Inc (NET.N)	O (12/02/2024)	\$170.31
CoreWeave (CRWV.O)	E (04/22/2025)	\$90.06
Intuit (INTU.O)	O (02/26/2025)	\$434.09
Microsoft (MSFT.O)	O (01/13/2016)	\$411.21
Oracle Corporation (ORCL.N)	E (01/15/2019)	\$154.67
Salesforce, Inc. (CRM.N)	O (12/21/2023)	\$196.38
Samsara Inc (IOT.N)	E (03/23/2023)	\$24.65
ServiceNow Inc (NOW.N)	O (09/24/2025)	\$109.77
Shopify Inc (SHOP.O)	O (04/19/2024)	\$119.29
Workday Inc (WDAY.O)	E (02/19/2025)	\$161.17
Meta A Marshall		
Check Point Software Technologies Ltd. (CHKP.O)	E (10/16/2023)	\$174.07
CrowdStrike Holdings Inc (CRWD.O)	E (07/14/2025)	\$421.73
CyberArk Software Ltd (CYBR.O)	E (01/09/2024)	\$406.67
Fortinet Inc. (FTNT.O)	U (09/02/2025)	\$79.30
Gen Digital Inc. (GEN.O)	E (06/07/2024)	\$22.45
Jamf Holding Corp (JAMF.O)	E (10/13/2024)	\$13.05
Netskope, Inc. (NTSK.O)	O (10/13/2025)	\$13.18
Okta, Inc. (OKTA.O)	O (12/02/2024)	\$82.31
Palo Alto Networks Inc (PANW.O)	O (10/10/2017)	\$166.24
Qualys Inc (QLYS.O)	U (02/09/2021)	\$127.52
Rapid7 Inc (RPD.O)	E (08/11/2015)	\$10.66
SailPoint Inc (SAIL.O)	O (09/02/2025)	\$14.65
SentinelOne, Inc. (S.N)	E (12/02/2024)	\$13.14
Tenable Holdings Inc (TENB.O)	E (12/02/2024)	\$20.05
Varonis Systems, Inc. (VRNS.O)	E (01/26/2026)	\$26.53
Zscaler Inc (ZS.O)	O (09/02/2025)	\$188.05
Sanjit K Singh		
Akamai Technologies, Inc. (AKAM.O)	O (01/12/2026)	\$91.79
Appian Corp (APPN.O)	O (01/12/2026)	\$25.85
C3.ai (AI.N)	U (01/04/2021)	\$10.75
Confluent, Inc. (CFLT.O)	++	\$30.45

Datadog, Inc. (DDOG.O)	O (01/12/2026)	\$119.66
Dynatrace Inc (DT.N)	E (02/13/2024)	\$34.57
Elastic NV (ESTC.N)	O (12/16/2024)	\$60.02
GitLab Inc (GTLB.O)	E (01/12/2026)	\$32.84
UFrog Ltd. (FROG.O)	O (12/21/2023)	\$51.80
MongoDB Inc (MDB.O)	O (04/12/2023)	\$346.06
PagerDuty, Inc. (PD.N)	E (01/24/2024)	\$8.92
Palantir Technologies Inc. (PLTR.O)	E (02/04/2025)	\$157.88
Snowflake Inc. (SNOW.N)	O (06/24/2025)	\$173.24
UiPath Inc (PATH.N)	E (09/07/2022)	\$12.15

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